AR 2EB

ALAMEDA RESEARCH
2: ELECTRIC BOOGALOO
LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

INTERNAL RESEARCH · MEMO · NOT INVESTMENT ADVICE · AI-ASSISTED

Autodesk

2 July 2026 · the qualitative

$199.76

NASDAQ : ADSK · Mature-Company DCF

$42.15B mkt cap · 211M sh · $2.6B cash, $2.5B net debt · $2.60B cash vs $2.50B debt — roughly net-cash-neutral (~$0.1B net cash); ~211M shares; ~$448M buyback in Q1 FY27; Revenue $7.21B FY26 (+18% as-reported); GAAP op margin ~21.9%, non-GAAP ~39%; FCF $2.4B; ~98% subscription/recurring; Down ~31% YTD to ~$198, near the 52-week low (~$205-$329 range); Starboard (~$500M, proxy fight) pushing margins

THE CENTRAL QUESTION

Does mission-critical CAD lock-in plus a Starboard-forced margin expansion to ~45% offset a maturing top line — or has growth matured into the price?

Autodesk trades at ~$41.9B (~$198, down ~31% YTD near the 52-week low) — ~17x FCF on $7.21B revenue, a ~98%-recurring CAD/design franchise, roughly net-cash-neutral. The +18% as-reported growth is flattered by an agency→direct billing change; underlying (cc-adjusted) growth is nearer ~8-12%. The bull is durable switching-cost lock-in plus a Starboard-forced lift toward ~45% operating margin by FY28; the bear is maturing growth and activist/execution noise. The finding is +53.6%: even the bear is +9% and the modal case +53% on the lower underlying growth.

PROBABILITY-WEIGHTED EXPECTED VALUE

$304.79 expected fair value today

+52.6% vs spot $199.76

FORWARD COMPOUNDED VALUE

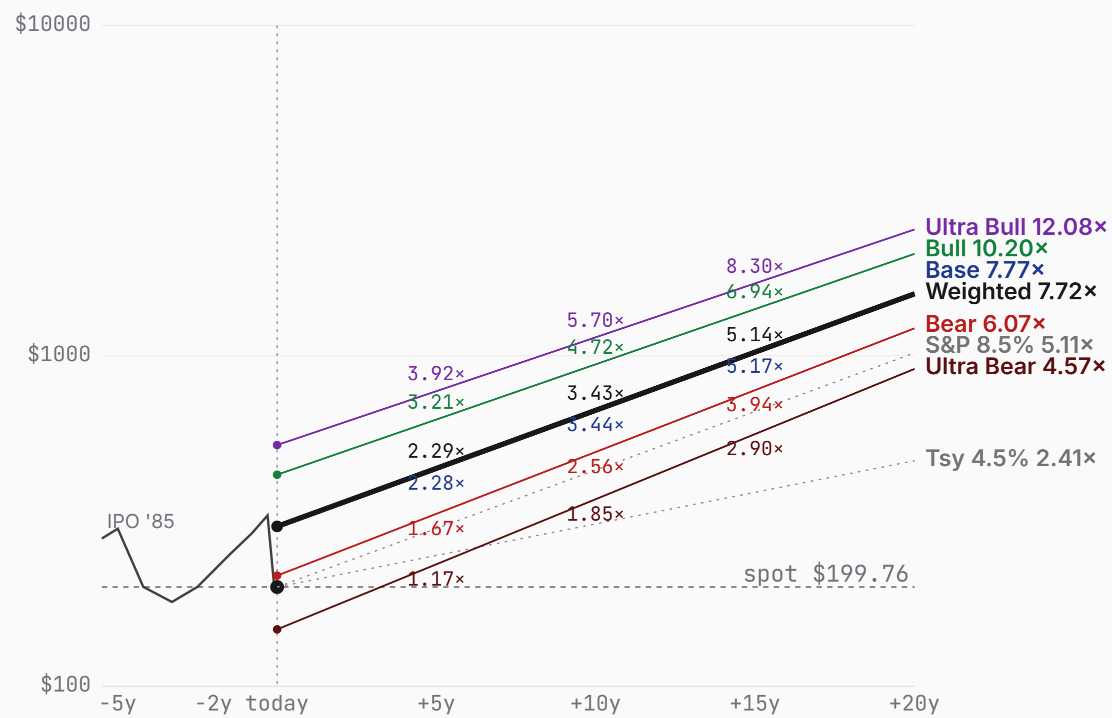
+5y	+10y	+15y	+20y
$456.72	$684.75	$1,027.14	$1,541.57
2.29× spot	3.43× spot	5.14× spot	7.72× spot

WEIGHTING RATIONALE

Ultra Bear 13% Growth stalls; activist fizzles; ~$149 (-25%).
Bear 26% Underlying ~6%; partial margin lift; ~$216 (+9%).
Base 34% Underlying ~8-12%; margins to mid-30s; ~$304 (+53%).
Bull 19% Activist delivers; margins near 45%; ~$437 (+120%).
Ultra Bull 8% ~45% margin + AI/cloud re-accel; ~$537 (+171%).

Bull (19%) + Ultra Bull (8%) together contribute $126.01 — 41% of the $304.79 expected value despite 27% combined probability. Today's spot ($199.76) sits 34% below the weighted expected; forward-weighted value crosses spot between +5y and +10y.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD



ULTRA BEAR	BEAR	BASE	BULL	ULTRA BULL
$148.74	$216.32	$303.52	$436.97	$537.38
-25.5% vs spot	+8.3% vs spot	+51.9% vs spot	+118.7% vs spot	+169.0% vs spot
CAGR +4.0% WACC 9.5%	CAGR +6.4% WACC 9.0%	CAGR +9.0% WACC 8.5%	CAGR +10.4% WACC 8.0%	CAGR +12.0% WACC 7.8%
CAGR +4.0% Prob 13%	CAGR +6.4% Prob 26%	CAGR +9.0% Prob 34%	CAGR +10.4% Prob 19%	CAGR +12.0% Prob 8%
Growth stalls; activist fizzles.	Underlying ~6%; partial margin lift.	Underlying ~8-12%; margins to mid-30s.	Activist delivers; margins near 45%.	Margins hit ~45%; AI/cloud re-accelerate.

AR 2EB ALAMEDA RESEARCH 2: ELECTRIC BOOGALOO LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

Autodesk scenario narratives

PROBABILITY WEIGHTS

Ultra Bear 13% Bear 26% Base 34% Bull 19% Ultra Bull 8% · Weighted expected $304.79 (+52.6% vs spot)

ULTRA BEAR $148.74

-25.5% vs spot

Probability 13%

Growth stalls; activist fizzles.

WHY 13%

The genuine bear: growth is already maturing (decelerating mid-teens before the billing flatter), activist campaigns can stall, and a construction/manufacturing cycle can bite. 13% weight on growth stalling with the margin lift fizzling.

WHAT HAPPENS

Underlying growth keeps fading toward ~4% as construction/manufacturing softens and the model-transition tailwind rolls off, while the Starboard campaign stalls: margins inch up but never approach the ~45% target. The franchise holds but compounds slowly off a flat top line.

A slow-growth, ~mid-20s% FCF-margin software franchise de-rates to a ~15x terminal FCF multiple → DCF ~$149 (-25%). The recurring base and near-net-cash balance sheet set the floor, but a stalled catalyst caps the value below today's price.

BEAR $216.32

+8.3% vs spot

Probability 26%

Underlying ~6%; partial margin lift.

WHY 26%

Lock-in holds and Starboard extracts some efficiency, but growth deceleration and execution noise keep the lift partial. 26% as the plausible 'defends but under-delivers the activist plan' path.

WHAT HAPPENS

Underlying growth settles around ~6% as AEC and cloud (Forma/Fusion) only partly offset a maturing core, and Starboard wins a partial cost program — operating margin grinds from low-20s toward ~27%, well short of ~45%. FCF margin firms toward ~30% but the re-rate is muted.

DCF ~$216 (+9%) — even a 'matures but defends, margins only partly improve' path clears today's price modestly. The switching-cost lock-in keeps the multiple from collapsing; the upside is capped without the full margin program.

BASE $303.52

+51.9% vs spot

Probability 34%

Underlying ~8-12%; margins to mid-30s.

WHY 34%

Requires lock-in to hold ~8-12% underlying growth AND Starboard to push margins materially higher over FY27-FY28 — consistent with the ~$500M stake, the comp realignment, and the under-earned margin gap. 34% as the central outcome.

WHAT HAPPENS

The modal path: underlying (cc, model-adjusted) growth holds ~8-12% as AEC/construction and cloud/AI (Fusion, Forma, agentic AI) compound on a mission-critical, ~98%-recurring base, while Starboard-driven cost discipline lifts operating margin from ~22% toward the mid-30s en route to the ~45% goal. FCF margin expands toward ~34%.

DCF ~$304 (+53%) — durable lock-in plus a credible margin program at ~21x terminal FCF re-rates the de-rated entry. On the lower underlying growth (not the +18% headline) the modal case still recovers well above spot; this is the core of the finding.

BULL $436.97

+118.7% vs spot

Probability 19%

Activist delivers; margins near 45%.

WHY 19%

Starboard's record plus a genuinely under-earned margin structure make a large lift credible; lock-in protects growth while costs are cut. ~19% weight on the activist plan substantially landing.

WHAT HAPPENS

Starboard's program lands close to plan: operating margin marches toward ~38% by FY30 (the ~45% adjusted target on a non-GAAP basis) on sales-optimization, headcount, and capital return, while AEC/construction + cloud/AI keep underlying growth low-teens. FCF margin inflects toward ~37%.

DCF ~$437 (+120%) - if the under-earned margin gap closes against a still-growing, locked-in franchise, the entry re-rates to a high-quality compounder multiple. This is the activist-success core of the bull.

ULTRA BULL $537.38

+169.0% vs spot

Probability 8%

Margins hit ~45%; AI/cloud re-accelerate.

WHY 8%

Everything works - the full activist margin target AND an AI/cloud growth re-acceleration AND a multiple re-rate. ~8%, the asymmetric upside.

WHAT HAPPENS

The full second act: Starboard's ~45% operating margin is reached, AI/cloud (Fusion, Forma, agentic design) re-accelerate underlying growth into the low-to-mid-teens, and Autodesk compounds as both a margin and a platform story. FCF margin reaches ~40%.

DCF ~$537 (+171%) - the franchise re-rates to a premium design-platform multiple as growth AND margins both inflect; ~8% probability, the long-duration tail the depressed entry is buying.

INTERNAL RESEARCH · MEMO · NOT INVESTMENT ADVICE · AI-ASSISTED

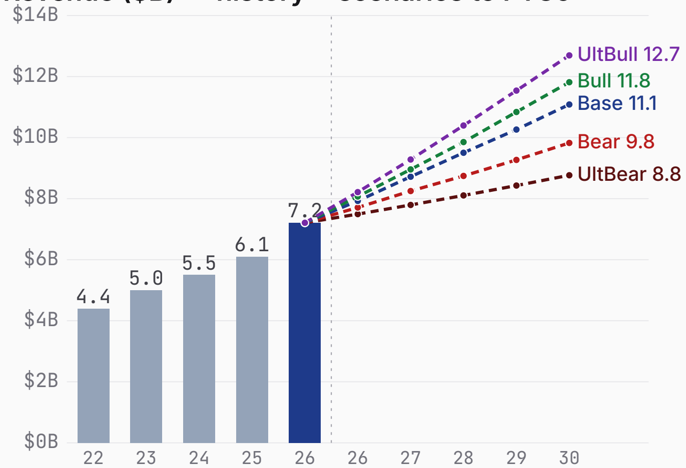
2 July 2026 · the snapshot

Autodesk business snapshot

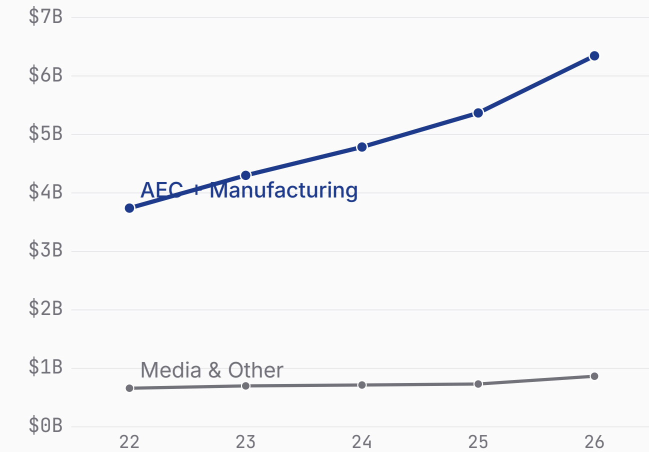
Bear $216.32 Base $303.52 Bull $436.97

FY22-FY26 history + FY26-FY30 scenario projections · fiscal years end late Jan · FQ1 FY2027 (Apr'26) results

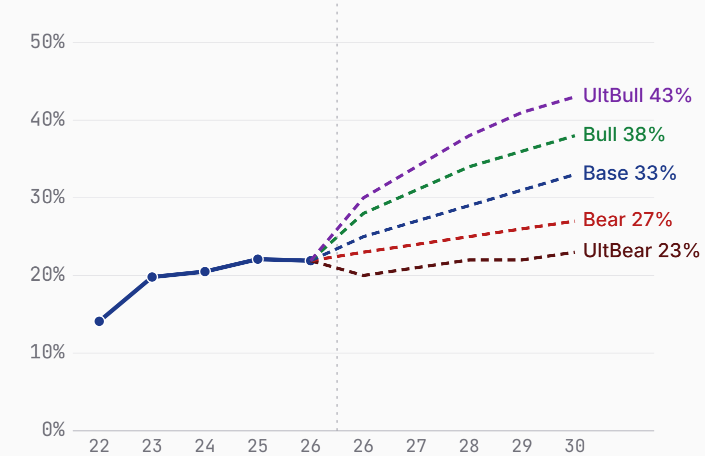
Revenue ($B) — history + scenarios to FY30



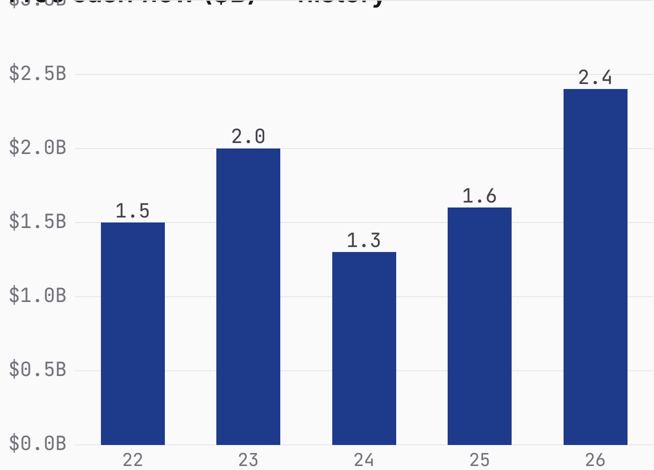
Revenue by segment ($B)



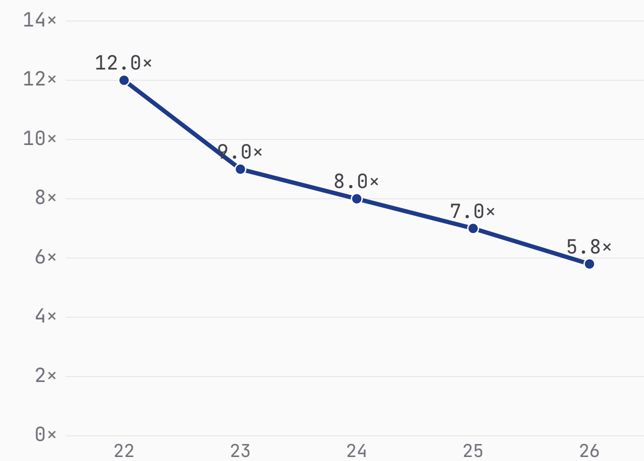
Op margin — history + scenarios



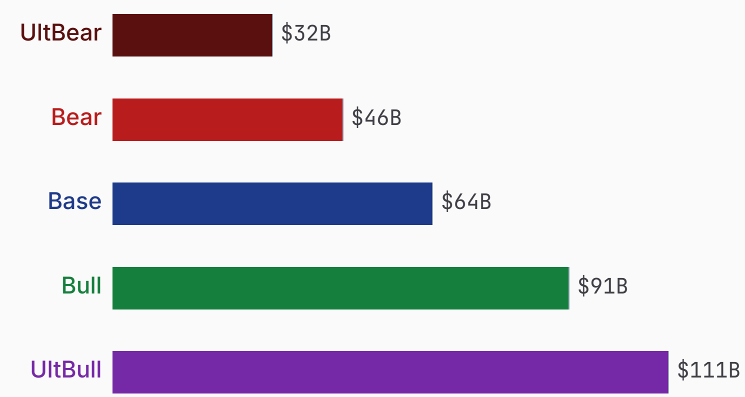
Free cash flow ($B) — history



EV / Revenue — historical



Equity build (Op EV + net cash)



Op EV · cash · special assets

Sources: SEC XBRL company facts (CIK 769397), Autodesk FQ1 FY2027 release (revenue $1.93B/+18% cc +16%, billings $2.13B/+18%, non-GAAP operating margin ~39%, FCF $876M/+58% seasonal peak, RPO $7.81B/+9%), Starboard ~$500M stake / ~45% FY28 operating-margin push. Revenue is a growth path off FY26 (base uses underlying cc/model-adjusted ~8-12%, NOT the +18% headline); FCF = revenue x FCF margin; Gordon terminal. Multiples vs PTC, ANSS, ADBE, DASSY.

Autodesk 7 Powers · the moat, scored

Bear $216.32 Base $303.52 Bull $436.97

Arena. Design/engineering software — Autodesk (CAD/BIM franchise: AutoCAD, Revit, Fusion, Construction Cloud) vs PTC, Dassault, Ansys, Bentley, Adobe, and emerging cloud-CAD; auditing a switching-cost Power against maturing growth and an activist-forced margin reset.

POWER AUDIT
dominant-power durability: high

POWER AUDIT · 7 POWERS

Scale Economies
R&D and go-to-market leverage across a ~$7.2B, ~98%-recurring base; large vs CAD peers, the cost base Starboard is targeting.

Network Economies
File-format + ecosystem effects (.dwg/.rvt as industry standards, partner/plug-in ecosystem) — real but more standard than two-sided network.

Counter-Positioning
Was the desktop-CAD disruptor; now the subscription incumbent, with cloud-CAD challengers counter-positioning against it.

Switching Costs · thesis leans here
The dominant Power: CAD/file-format lock-in (.dwg/.rvt), trained workforces, BIM mandates and deep workflow integration make migration costly and rare.

Branding
AutoCAD/Revit are category-defining, mission-critical brands with pricing power across architecture/engineering/manufacturing.

Cornered Resource
The installed file-format standards + decades of drawing data are a quasi-cornered asset, though not legally exclusive.

Process Power
Emerging via the Starboard cost program (sales-optimization, comp realignment) and cloud/AI delivery — the margin-expansion lever, unproven at the ~45% target.

PEER SET

PTC 10% gr · 27% mgn · ~30x EV/FCF
CAD/PLM peer (Creo, Windchill); recurring-software comp on growth and margin.

Dassault Systemes 8% gr · 30% mgn · ~30x P/E
CAD/PLM scale leader (SolidWorks, CATIA, 3DEXPERIENCE); the closest large-cap design franchise.

Ansys 11% gr · 40% mgn · ~30x EV/FCF
Simulation leader (now Synopsys-owned); adjacency in engineering software.

Bentley Systems 10% gr · 28% mgn · ~35x P/E
Infrastructure-engineering software; direct AEC competitor in civil/infrastructure.

THREAT VECTORS · FALSIFIERS

Switching Costs · Cloud-CAD challengers / open file formats
falsifier: A credible browser-native CAD platform or open .dwg/.rvt interoperability erodes lock-in and lifts churn.

Scale Economies · Maturing growth + construction/manufacturing cycle
falsifier: Underlying (ex-billing-change) growth decelerates below ~6% as end-markets soften, de-levering the operating model.

Process Power · Starboard rebuffed / margin program stalls
falsifier: Operating margin stays near ~22% and the ~45% target slips, confirming the under-earned gap won't close.

COMPETITIVE READ

Autodesk's dominant Power is switching costs — CAD/file-format lock-in (.dwg/.rvt), trained workforces, BIM mandates, and deep workflow integration make its ~98%-recurring base sticky and mission-critical, durability high — reinforced by category-defining branding and real scale. The live audit question is not whether the moat holds but whether two things stack on top of it: a maturing top line (the +18% as-reported figure is flattered by the billing change; underlying is ~8-12%) and a Starboard-forced lift toward ~45% operating margin, a process-power catalyst that is unproven at target. The threats are a cloud-CAD/open-format challenge to lock-in, a construction/manufacturing cycle, and the activist program stalling. The ~31% de-rate to ~17x FCF prices maturing growth heavily; the DCF tests lock-in plus the margin catalyst, and even the bear is +9% with the modal case +53% on the lower underlying growth — cheap quality with a catalyst, with activist/execution noise the watch-out.

Autodesk show your work

Bear $216.32 Base $303.52 Bull $436.97 · Weighted $304.79 (+52.6%)

ULTRA BEAR $148.74

ASSUMPTIONS

5y revenue CAGR (%)	+4.0
Year-5 op margin (%)	23.0
WACC (%)	9.5
Terminal growth (%)	3.0
5y revenue CAGR (%)	+4.0
Starting revenue ($B)	7.21
Scenario probability (%)	13

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	7.49	+20%	+1.80	+1.64
FY27	7.79	+21%	+1.95	+1.63
FY28	8.11	+22%	+2.11	+1.61
FY29	8.43	+22%	+2.19	+1.52
FY30	8.77	+23%	+2.37	+1.50

Σ PV explicit FCF	+7.90
+ PV terminal (g 3.0%)	23.83

EQUITY BUILD · $B & PER SHARE

Operating EV	$31.73B
+ Cash & investments	$2.60B
− Net debt	$2.50B
= Equity value	$31.83B
FY30 shares (M)	214
= Expected per share	$148.74

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$234.15	$368.61	$580.28	$913.50
1.17×	1.85×	2.90×	4.57×

BEAR $216.32

ASSUMPTIONS

5y revenue CAGR (%)	+6.4
Year-5 op margin (%)	27.0
WACC (%)	9.0
Terminal growth (%)	3.5
5y revenue CAGR (%)	+6.4
Starting revenue ($B)	7.21
Scenario probability (%)	26

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	7.71	+23%	+2.08	+1.91
FY27	8.25	+24%	+2.31	+1.94
FY28	8.75	+25%	+2.54	+1.96
FY29	9.27	+26%	+2.78	+1.97
FY30	9.83	+27%	+2.95	+1.92

Σ PV explicit FCF	+9.70
+ PV terminal (g 3.5%)	36.06

EQUITY BUILD · $B & PER SHARE

Operating EV	$45.76B
+ Cash & investments	$2.60B
− Net debt	$2.50B
= Equity value	$45.86B
FY30 shares (M)	212
= Expected per share	$216.32

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$332.84	$512.11	$787.94	$1,212.35
1.67×	2.56×	3.94×	6.07×

BASE $303.52

ASSUMPTIONS

5y revenue CAGR (%)	+9.0
Year-5 op margin (%)	33.0
WACC (%)	8.5
Terminal growth (%)	3.5
5y revenue CAGR (%)	+9.0
Starting revenue ($B)	7.21
Scenario probability (%)	34

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	7.93	+25%	+2.30	+2.12
FY27	8.72	+27%	+2.70	+2.30
FY28	9.50	+29%	+3.04	+2.38
FY29	10.26	+31%	+3.39	+2.44
FY30	11.09	+33%	+3.77	+2.51

Σ PV explicit FCF	+11.75
+ PV terminal (g 3.5%)	51.89

EQUITY BUILD · $B & PER SHARE

Operating EV	$63.64B
+ Cash & investments	$2.60B
− Net debt	$2.50B
= Equity value	$63.74B
FY30 shares (M)	210
= Expected per share	$303.52

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$456.39	$686.25	$1,031.89	$1,551.61
2.28×	3.44×	5.17×	7.77×

BULL $436.97

ASSUMPTIONS

5y revenue CAGR (%)	+10.4
Year-5 op margin (%)	38.0
WACC (%)	8.0
Terminal growth (%)	4.0
5y revenue CAGR (%)	+10.4
Starting revenue ($B)	7.21
Scenario probability (%)	19

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	8.07	+28%	+2.50	+2.32
FY27	8.96	+31%	+2.96	+2.53
FY28	9.85	+34%	+3.45	+2.74
FY29	10.84	+36%	+3.90	+2.87
FY30	11.82	+38%	+4.37	+2.98

Σ PV explicit FCF	+13.43
+ PV terminal (g 4.0%)	77.36

EQUITY BUILD · $B & PER SHARE

Operating EV	$90.79B
+ Cash & investments	$2.60B
− Net debt	$2.50B
= Equity value	$90.89B
FY30 shares (M)	208
= Expected per share	$436.97

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$642.05	$943.39	$1,386.14	$2,036.70
3.21×	4.72×	6.94×	10.20×

ULTRA BULL $537.38

ASSUMPTIONS

5y revenue CAGR (%)	+12.0
Year-5 op margin (%)	43.0
WACC (%)	7.8
Terminal growth (%)	4.0
5y revenue CAGR (%)	+12.0
Starting revenue ($B)	7.21
Scenario probability (%)	8

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	8.21	+30%	+2.63	+2.44
FY27	9.28	+34%	+3.25	+2.80
FY28	10.40	+38%	+3.85	+3.07
FY29	11.54	+41%	+4.50	+3.33
FY30	12.69	+43%	+5.08	+3.49

Σ PV explicit FCF	+15.13
+ PV terminal (g 4.0%)	95.47

EQUITY BUILD · $B & PER SHARE

Operating EV	$110.60B
+ Cash & investments	$2.60B
− Net debt	$2.50B
= Equity value	$110.70B
FY30 shares (M)	206
= Expected per share	$537.38

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$782.30	$1,138.86	$1,657.92	$2,413.55
3.92×	5.70×	8.30×	12.08×

Autodesk People · Opportunity · Context · Deal

Bear $216.32 Base $303.52 Bull $436.97

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

PEOPLE · WHO RUNS / OWNS / FUNDS IT

Andrew Anagnost 9 yrs in seat

0.5% insider ownership

LOW key-person risk

Capital allocation (realized)
Disciplined capital return. No dividend since 2004; buybacks are the primary return and are accelerating ($1.4B in FY2026 against a $10B authorization), outpacing heavy SBC ($788M FY2026) so the share count net-declines (~229M in 2009 to ~211M in 2026). Balance sheet is roughly net-cash (~$3.0B cash + securities vs ~$2.5B notes). M&A is programmatic tuck-ins, not transformational.

Incentive alignment
CEO pay is heavily equity-weighted (FY2026 total ~$30.1M, ~90% stock, ~4% salary). Say-on-pay passed in 2026. Insider Form 4 activity is mostly grants + tax-withholding; a recent alignment signal is CFO Janesh Moorjani's open-market BUY of 2,500 shares (~$0.5M) in Jun 2026.

GOVERNANCE FLAGS

- single class, one vote per share; no controlling or super-voting holder
- strong structure: an independent Chair (Stacy Smith) separate from the CEO, 11 directors with 10 independent (~91%), all-independent committees, and an annually-elected (declassified) board
- central flag - a FY2024 audit-committee investigation into free-cash-flow / non-GAAP operating-margin practices (FY2022-24): discretionary spend, collections, and AP timing were informed by their effect on FCF/margin targets; NO restatement, but remedial measures and an NT 10-K / delayed 10-K resulted
- CFO turnover around the probe (Clifford → interim Rafael → permanent Moorjani, 2024)
- Starboard Value activist campaign (2024-25, ~$500M stake, publicly urged a CEO change) settled Apr 2025 with two new independent directors (Epstein, Simons) + a standstill

THE FOUR LEGS

People ●●●○○
observable composite · 1–5

Opportunity
The scenario distribution · the Page-3 business snapshot · the Arthur Indicator

Context
The 7 Powers analysis (Power Audit)

Deal
Open-market purchase = the deal: entry price vs. the scenario distribution (the +53.6% finding) + position sizing.

PEOPLE READ

Structurally clean governance - single-class one-vote, an independent Chair split from a long-tenured professional CEO, a ~91%-independent declassified board, and buyback discipline that shrinks the share count. Held to a 3 by the FY2024 free-cash-flow / non-GAAP-margin reporting investigation (no restatement, but a real control-environment flag), the CFO turnover around it, and the Starboard campaign that had to force accountability.

Autodesk supporting analysis · disclaimers · glossary

Bear $216.32 Base $303.52 Bull $436.97

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

1 **The +18% growth is a billing-model mirage.** The agency→direct model inflates as-reported revenue/billings/FCF; the base uses the lower underlying ~8-12%, and still lands +53%.

2 **Switching costs are the real moat.** CAD/file-format lock-in (.dwg/.rvt, trained workforces, BIM mandates) makes Autodesk mission-critical - the durability, not the growth rate.

3 **Starboard is forcing an under-earned margin.** A ~$500M stake + proxy fight pushing ~45% operating margin by FY28 against ~22% today is the explicit margin catalyst, not a growth bet.

4 **Maturing growth is the live risk.** Decelerating mid-teens (before the billing flatter), cyclical end-markets, and execution/CEO noise keep the bear (+9%) and ultra-bear (-25%) in play.

5 **Roughly net-cash-neutral, p_fail ~0.** $2.60B cash vs $2.50B debt (~$0.1B net cash) on $2.4B FCF — no solvency risk; the downside is multiple/margin execution.

FALSIFICATION TRIGGERS

Bull validation

Starboard margin program ratified, operating margin steps toward mid-30s+ · underlying (cc/model-adjusted) growth holds >=8% · RPO/billings re-accelerate ex-model-change · AEC + cloud keep outperforming

Bear validation

underlying growth decelerates below ~6% ex-billing-change · the activist program stalls and margins stay near ~22% · construction/manufacturing cycle turns down · CEO/execution disruption

Reframe needed

if the lock-in cracks (a cloud-CAD challenger or open file formats erode .dwg/.rvt switching costs) OR Starboard exits with margins unchanged, re-rate the terminal toward a slow-growth, mid-20s-margin software multiple

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Forward-looking statements.

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Do your own research.

Do not make investment decisions on the basis of this document. Consult a licensed financial professional and read the company's official SEC filings (10-K, 10-Q, 8-K, proxy) before forming any investment view. If you wouldn't trust your retirement to a chatbot, don't trust this either.

GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

Switching costs — Helmer Power: CAD/file-format lock-in (.dwg/.rvt), trained workforces, and BIM mandates that make leaving Autodesk costly — the dominant, durable moat.

Starboard / activist — Starboard Value's ~$500M stake and proxy fight pushing ~45% adjusted operating margin by FY28, comp realignment, and a CEO reassessment — the explicit margin catalyst (a process-power story).

AEC — Architecture, Engineering & Construction — Autodesk's largest segment (Revit, AutoCAD, Construction Cloud); the outperforming end-market plus Manufacturing (Fusion) drives the top line.

FCF margin — Free cash flow / revenue (~33% FY26 as-reported); the mature-DCF swing factor — whether the activist-forced operating-margin lift toward ~45% converts to free cash flow.

New transaction model — The agency→direct billing change that inflates as-reported revenue/billings/FCF growth; the base strips it out to the lower underlying (cc, model-adjusted) ~8-12% rate.